

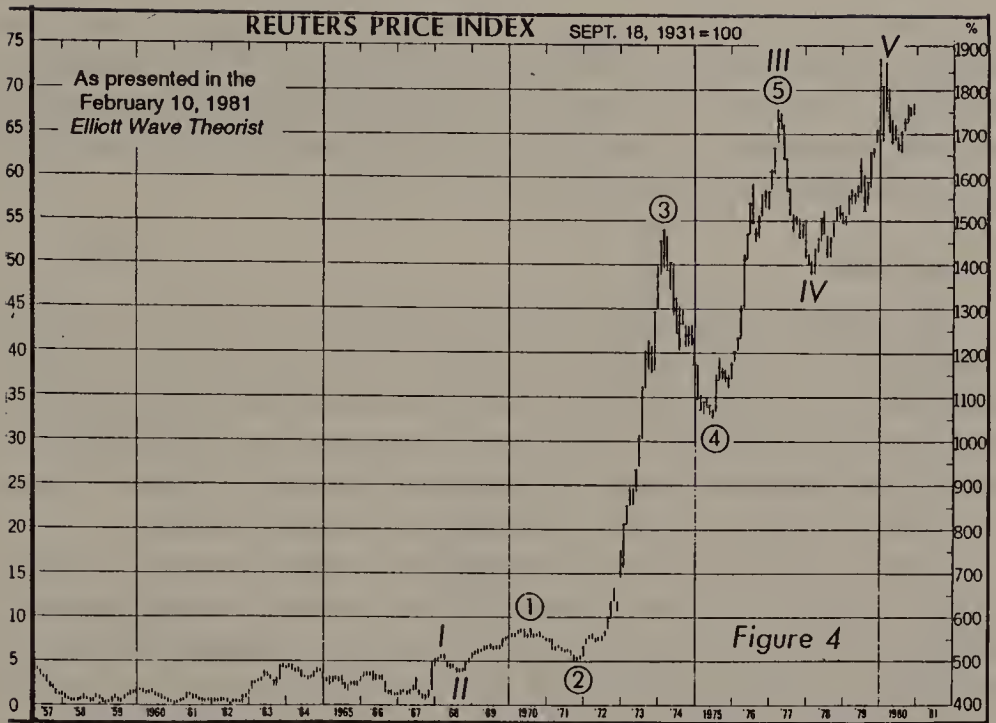


Figure 18-4

After six months of decline in commodity prices, the May 1982 issue confirmed the status of the reversal and estimated a downside target for the CRB index:

The lower Elliott trend channel line has been broken on the downside, confirming that a major fifth wave peak for commodities *was* seen in November 1980. While the index may be near the end of an "A" wave, implying a "B" wave rally lasting a year or two beginning some time soon, the *full bear market* won't be over until a "C" wave carries commodities to substantially lower lows. Of course, the most likely target is the bottom of the previous fourth wave of lesser degree between 175 and 185. This wave status implies that while many commodities may undergo significant rally phases over the next year or two, the indexes will *not* be going to new all-time highs.

Indeed, no new all-time high has been seen in this index since 1980, fifteen years ago. The "B" wave rally forecasted in May 1982 began in October, and as will be explored in the next section, prob-